

A BEGINNER'S GUIDE TO

MARGIN TRADING



CHANDLER EXPLAINS. JOEY... TRIES.

PS5s, GTA 6 & a lesson in trading

SWIPE TO LEARN →

THE SETUP

A PS5 COSTS
RS. 200,000



CHANDLER

GTA 6
HYPE!

That's the price **today**.

But I think **GTA 6** is coming soon, so PS5 prices
will **rise**.

WAIT... IT GETS MORE EXPENSIVE?



JOEY

THE DEAL

THE TOKEN MONEY



CHANDLER

I pay a token amount of **Rs. 10,000** as **margin** to lock the PS5 at **Rs. 200,000**.

30 days from now, I buy the PS5 for **Rs. 200,000**.

SO YOU PAID FOR A PSS...
AND DIDN'T GET A PSS?



JOEY



SCENARIO 1

+Rs. 20,000
PROFIT

GTA 6 RELEASES!



CHANDLER

30 days later, the PS5 goes up to **Rs. 220,000**.

I get it at **Rs. 200,000** and sell it at **Rs. 220,000**.

And I only paid **Rs. 10,000** upfront.

WE'RE RICH! ...RIGHT?



JOEY

SCENARIO 2

GTA · 6 · GETS DELAYED



CHANDLER

-Rs. 20,000
LOSS

30 days later, the PS5 drops to **Rs. 180,000**.

I bought at **Rs. 200,000** and now sell at
Rs. 180,000, so I bear a **loss of Rs. 20,000**.

CAN WE AT LEAST STILL PLAY IT?



JOEY

THE BIG IDEA

WHAT DID CHANDLER ACTUALLY CREATE?



CHANDLER



A **margin contract / trade**: a financial agreement to buy or sell an asset at a **fixed price** on a **future date**, by paying a **small upfront amount**.

COULD YOU SAY THAT AGAIN... SLOWER?



JOEY

PLOT TWIST

NOW · REPLACE · THE · PSS
WITH · A · COMMODITY



CHANDLER

PAKISTAN
PMEX

People make similar agreements on the
Pakistan Mercantile Exchange (PMEX).

This is called **Margin Trading.**

WAIT. I CAN DO THIS WITH GOLD?!



JOEY

TERMS USED IN

MARGIN • TRADING

OKAY... AND WHICH
ONE IS THE PIZZA?



CHANDLER

CHEAT
SHEET

PS5	→ Underlying Asset
Rs. 200,000	→ Futures Price
Rs. 10,000	→ Margin
30 Days Later	→ Expiry Date
Chandler's Deal	→ Margin Trade

THE WHY

WHY DO PEOPLE TRADE ON MARGIN?



3
REASONS



CHANDLER

- They think prices will **rise**.
- They think prices will **fall**.
- They want to **lock in today's price** and **reduce risk**.

I'M ON FINGER FOUR. IS THAT BAD?



JOEY

THE TAKEAWAY

THAT'S · HOW · MARGIN TRADING · WORKS



CHANDLER

SAVE
THIS!

Margin trading lets you trade **futures contracts** by paying a small upfront amount known as **Margin** or **Token Money**.

For education only. Margin trading carries a risk of loss.

HOW YOU DOIN'? NOW
SEND THIS TO YOUR JOEY!



JOEY